INTERNAL COMMUNICATION
LAST UPDATED: MAY 2023

POLICY NUMBER: **FP-FIN-008**

CASH AND CASH EQUIVALENTS AND RESTRICTED CASH ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for unrestricted and restricted cash and cash equivalents in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

As part of its global operations, Hilton has cash and investments in many countries and territories around the world. Additionally, as part of certain arrangements Hilton has cash and investments that are restricted with respect to their withdrawal or usage.

SCOPE

The scope of the Policy extends to all unrestricted and restricted cash and cash equivalents held by Hilton. Cash is not limited to currency alone but also encompasses demand deposits with banks and financial institutions and other accounts with similar characteristics as demand deposits.[1] Cash equivalents are short-term (original maturities of three months or less), highly liquid investments and have both of the following characteristics:

- Readily convertible to known amounts of cash
- So near to their maturity they present insignificant risk of changes in value because of changes in interest rates.[1]

For example, both a three-month US Treasury bill and a three-year US Treasury note purchased three months from maturity qualify as cash equivalents. However, a US Treasury note purchased three years ago does not become a cash equivalent when its remaining maturity is three months.

Hilton typically reports the following as cash and cash equivalents in its consolidated balance sheet:

- All currencies on hand including petty cash and hotel house funds
- All bank demand deposits and time deposits that are not restricted
- Money market funds
- Commercial paper, T-Bills and CDs maturing in 90 days or less from date of purchase
- Cash balances held by consolidated voting interest and variable interest entities.

Negative cash occurs as a result of bank overdrafts or book overdrafts.

Restricted cash and cash equivalents refers to money held for a specific purpose and therefore is not readily available to Hilton for immediate use in current operations. Refer to **FP-FIN-014—Fair Value Accounting Policy** and **FP-FIN-022—Debt Accounting Policy** for guidance on accounting for transactions that may require cash and/or cash equivalents to be classified as restricted.

APPLICABILITY

This policy applies to all Finance personnel.

EXCLUSIONS / EXCEPTIONS

The following items are excluded from cash and cash equivalents:

- Commercial paper, T-Bills, and CDs maturing more than 90 days from date of purchase
- Debt investments
- Equity investments
- Other investments which are not short term in nature

AUTHORIZATIONS

Required Consultations with Technical Accounting ("TA")

TA must be notified if Hilton or one of its consolidated ventures or similar entities enters into an arrangement whereby Hilton is legally or contractually required to segregate cash. Examples of arrangements that may require Hilton to segregate cash include:

1. Execution of a new or modification to an existing insurance program.
2. Execution of a new debt instrument.

[1] *ASC 305-10-20, Cash and Cash Equivalents, Glossary*

3. Modification or refinancing of an existing debt instrument.
4. A legal release from being the primary obligor under a debt instrument and/or transfer of assets to an irrevocable defeasance trust.
5. Execution of a new hotel lease or an amendment, extension or termination of an existing hotel lease.

PRESENTATION

a. *Restricted vs. Unrestricted Classification*

Cash and cash equivalents that are legally restricted for withdrawal or use for other than current operations and are not readily available for immediate use are classified as restricted. Cash may be restricted for a number of reasons such as, but not limited to, capital asset purchases, loan repayment, capital investments, or cash collateral for self-insurance programs.[2] Cash held in bank accounts in countries operating under exchange controls or other legal restrictions that prevent its general use may also be considered restricted. Refer to the **FP-FIN-200—Global Cash Management Policy** for further guidelines on the use of restricted cash.

Cash and cash equivalents available for immediate withdrawal and use in current operations are classified as unrestricted.

FF&E Reserves

Certain hotel leases require Hilton to maintain a cash reserve for the replacement of Furniture, Fixtures, and Equipment ("FF&E Reserves") in a bank account. Generally, there are restrictions on the use of funds held in such FF&E Reserves limiting expenditures to the acquisition of FF&E or similar expenditures specifically for that hotel. Cash held within FF&E Reserves are restricted if the lease agreement requires cash to be held in a bank account. Refer to **FP-FIN-007—Lease Accounting Policy** for details on how to record FF&E expense.

b. *Current vs. Non-current Classification*

Cash or cash equivalents, regardless of whether it is restricted or unrestricted, that are immediately available for use or will be consumed within one year are classified as current assets.[3] Cash or cash equivalents, regardless of whether it is restricted or unrestricted, that have a time restriction for disbursement in excess of one year, are specifically designated to be used to purchase or construct non-current assets, or are segregated for the settlement of long-term liabilities are classified as non-current assets.[4]

c. *Balance sheet presentation*

Occasionally, certain individual bank accounts of Hilton's may be in a negative cash position at the end of the month. There are two scenarios in which this could occur:

- Bank overdrafts – represent checks written by Hilton that are honored by the financial institution without sufficient account funds to cover the payment.
- Book overdrafts – represent accounts with outstanding checks that are in excess of funds on deposit per Hilton's general ledger.

If Hilton's general ledger balance related to an individual bank account is negative at the end of a given month, that amount must be classified as a current liability unless a right of setoff exists. A right of setoff exists when all of the following conditions are met:

- Each of the two parties owes the other determinable amounts.
- The reporting party has the right to set off the amount owed with the amount owed by the other party.
- The reporting party intends to set off.
- The right of setoff is enforceable under law.[5]

d. *Cash flow presentation*

Hilton will report any bank overdrafts during the period in the Financing Activities section of its Statement of Cash Flows.[6]

[2] *ASC 210-10-S99-1, Regulation S-X Rule 5-02, Balance Sheets*
[3] *ASC 210-10-45-3, Classification of Current Assets*
[4] *ASC 210-10-45-4, Classification of Current Assets*
[5] *ASC 210-20-45-1, Right of Setoff Conditions*
[6] *ASC 230-10-45-14b, Classification - Cash Flows from Financing Activities*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Change in Cash and Cash Equivalents	- Cash and cash equivalents (debit or credit) - Refer to other policies for details of the types of transactions affecting the Company's cash and cash equivalents account.	- N/A	- Operating/ Investing/ Financing Activities depending on the nature of the transaction
Change in Restricted Cash and Cash Equivalents	- Restricted cash and cash equivalents (credit/ debit) - Refer to other policies for details of the types of transactions affecting the Company's cash and cash equivalents account.	- N/A	- Operating/ Investing/ Financing Activities depending on the nature of the transaction
Reclass of Bank Overdraft/ Book Overdraft (negative cash)	- Cash and cash equivalents (debit) - Accounts Payable, accrued expenses and other (credit)	- N/A	- Operating Activities

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

FP-FIN-007—Lease Accounting Policy

FP-FIN-014—Fair Value Accounting Policy

FP-FIN-022—Debt Accounting Policy

FP-FIN-200—Global Cash Management Policy

TERM/ACRONYM	DEFINITION
Cash Equivalent	Cash equivalents are short-term, highly liquid investments that have both of the following characteristics: 1. Readily convertible to known amounts of cash. 2. So near their maturity that they present insignificant risk of changes in value because of changes in interest rates. Generally, only investments with original maturities of three months or less qualify under that definition. Original maturity means original maturity to the entity holding the investment.
Original maturity	Measured as the period from the holder's date of purchase to the instrument's maturity.
Right to set off	A debtor's legal right, by contract or otherwise, to discharge all or a portion of the debt owed to another party by applying against the debt an amount that the other party owes to the debtor.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.